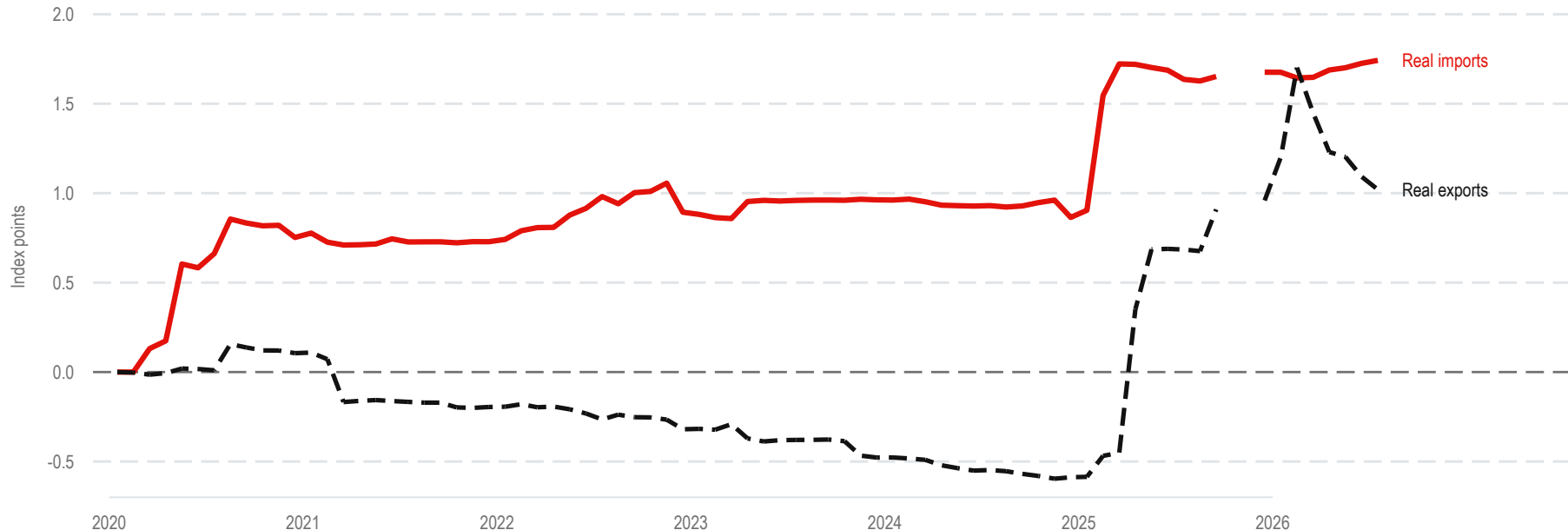


The nominal distortion reverses. The drift in real trade does not

Cumulative overstatement of real US goods trade from gold's weight in the deflator, index points, January 2020 = 0



Bias in measured inflation is (actual share - carried weight) x (gold inflation - non-gold inflation), cumulated. Gold inflation is BLS's own nonmonetary gold index for each side (EIUIR14270, EIUIQ12260), not a proxy; non-gold inflation is backed out of the published aggregate at the weight the index carries. An understated deflator is an overstated volume, so a rising line means real trade is measured too high. Both sides end up overstated, but they arrive at different times and so do not cancel: the import drift is a 2020 step and a 2025 step, while the export drift is slightly negative until 2024 and then adds 1.6 points in 2025 alone. At 2025 nominal trade the two are worth about \$57bn of real imports and \$20bn of real exports that were never there. The break in late 2025 is a real hole: BLS published no October 2025 value for either aggregate, the only month absent since 2015, so neither October nor November can be decomposed. Both gold components WERE published. Bridging September to November would add a further 0.9 points to the export drift, so the line as drawn understates it. This does NOT affect published GDP - BEA removes nonmonetary gold from the national accounts - but it does affect real series built from the trade release. Approximation: the aggregate is chained monthly with a Lowe formula, so this two-term decomposition is close to, not identical with, BLS's aggregation. Source: Bureau of Labor Statistics; US Census Bureau; Bureau of Economic Analysis.